

The rise of Zimbra

Zimbra began its life as an ordinary SourceForge project, and it was later on acquired by Yahoo for a heart-stopping \$350 million

Mega savings

Standish Group has published a report stating that adoption of open-source software models results in savings of about \$60 billion per year to consumers

Who said there's no free lunch?

If you thought Open Source was all about charity, think again. There's some serious money to be made in it; here's how...

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Open Source (OS) is a development model, where the application or software tools are typically available for free. And not free as in "free beer" but free as in "free speech". By that we mean that not only does the application not require money to use (as in free beer), but its source code (if a software was a food dish, then its source code would be the recipe) is open to all to read, access, modify and most importantly contribute (as in free speech). Some of the best examples of Open Source Software (OSS) that we all use are VLC Media Player, WordPress, Wikipedia, Android (on our phones) and so on. To be complete in definition, we'd also like to point out that Open Source isn't applicable only to software but to varied things like electronics, health products, and even beverages (search Google for "Open Cola")

In this article, we'll discuss the possibilities of earning revenue from the Open Source development model.

Though at first you might think that it's paradoxical to economise something which is available for free, you'll be surprised to know that there are companies with over \$1 billion in revenue (RedHat), who earn that from the Open Source ecosystem.

From the development point of view the major advantages of preferring OS over proprietary counterparts are the possibility of volunteers contributing to your code base from all over the world. Plus, peer-reviewed source code tends to have less bugs and be more robust. A good example of this would be GNU/Linux which runs majority of the world servers and almost all of the super-computers where reliability is of top importance. Many of these benefits carry over to

the user consuming Open Source products in the form of decreased cost of obtaining software license and more secure, robust and reliable software.

Now let's proceed straight to the question, How do you make money from all of this?

Well, there are several established ways to achieve that aim. Let's consider an

almost exhaustive list of them and take them up one by one in brief.

Providing customer support and service

This is the most prevalent method to monetise Open Source services in the industry. Typically, when an enterprise deploys Open Source Software, which unlike commercial software doesn't come with customer support by default (since it's free), they want to be able to access technical support for it via some medium if they don't have in house expertise for it.

If you're wondering how much money can be made from this, you should know that one of the leaders in the field, Red Hat which provides enterprise support for Linux installation is close to raking in \$1 billion in revenue this year. Yes, that's about ₹4,500 crore. It's been growing at an astounding rate, providing services over the past decade with more than 8X returns over the S&P 500 (Sensex of USA).

Similarly, a younger and newer entrant in this field Canonical, providing support for the super popular Ubuntu distribution is closing in on the hindered million dollar figure.

All you have to do is pick up any popular Open Source product used by thousands of enterprises, develop the required skill set and set up a support and service business for it.

Commercial documentation

Many of the best Open Source Software (OSS), especially the not-so-mature



A billion dollars from supporting free products

products, don't have very good documentation available for them; this might be a critical factor in enterprise-level deployment. Banking on this situation, original developers and third-parties provide the complete reference manual (say in the case of JBoss) for a reasonable sum of money.

Since the source is available for anyone to access, it's a huge oppor-

